

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

**COMPLAINANT MCS INDUSTRIES, INC.’S OPPOSITION
TO RESPONDENT MSC MEDITERRANEAN SHIPPING
COMPANY SA’S MOTION FOR AN EXTENSION OF TIME**

Complainant MCS Industries, Inc. (“Complainant”), by and through its undersigned attorneys, files this opposition to Respondent MSC Mediterranean Shipping Company SA’s (“Respondent”) August 26, 2022 Motion for an Extension of Time (the “Motion”).

I. Respondent’s Failures to Comply with Its Discovery Obligations Are a Crisis of Respondent’s Own Making.

Respondent’s Motion, which seeks yet again to delay Respondent’s compliance with the Presiding Officer’s December 8, 2021 Order (the “First Order Compelling Production”) compelling Respondent to produce discovery, is premised entirely on a crisis of Respondent’s own making. Respondent does not dispute that it could have voluntarily complied with Complainant’s requests *last year*, when Complainant first served its discovery requests, without raising any issues under Swiss law. In fact, at the outset of discovery in this action, Respondent told Complainant that it was not aware of any issues with Swiss discovery rules. As reflected in the February 28, 2022 Joint Status Report: “Complainant’s counsel raised with Respondent’s counsel the issue of Swiss law, and whether it could interfere with discovery in this case, during conferences in September and October 2021. *It was not until December 16, 2021, however—after Complainant had filed and prevailed on its motion to compel—that Respondent raised the issues of Swiss*

law” that Respondent now contends preclude it from complying with the First Order Compelling Production. (Feb. 28, 2022 Joint Status Report, Docket No. 47, at 7 (emphasis added).) Now, *nine months after* the First Order Compelling Production, Respondent still has made no effort whatsoever to comply with any of the obligations imposed by that order. August 29, 2022, the deadline for production set forth in the Presiding Officer’s July 29, 2022 Order (the “Second Order Compelling Production”), has come and gone without Respondent producing a single document or providing any information in response to the First Order Compelling Production, the Letter of Request, or the Second Order Compelling Production.

The Second Order Compelling Production correctly notes that, since first raising Swiss law as a purported shield against complying with its discovery obligations, Respondent has continuously “delayed the proceeding by insisting that Swiss law prohibits discovery disclosure.” (Second Order Compelling Production at 4.) Per the Presiding Officer’s instructions (and consistent with Respondent’s preferred method of proceeding), Complainant prepared and arranged a certified translation of a Letter of Request pursuant to the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the “Hague Evidence Convention”) concerning the documents and information encompassed by the First Order Compelling Production and Complainant’s subsequent and substantially parallel requests for production and interrogatories in connection with its Verified Amended Complaint (the “Letter of Request”). Complainant submitted the Letter of Request to the Geneva Court of First Instance (the “Swiss Court”) and the Swiss Federal Office of Justice (the “FOJ”). As the Presiding Officer noted, however, in response to the Letter of Request, the Swiss Court “determined that it is outside the scope of the Hague Evidence Convention.” (Second Order Compelling Production at 3.)

Undeterred by the Presiding Officer's determination on that basis that no "additional actions need to be taken under the Hague convention" (Second Order Compelling Production at 3), Respondent continues to argue in the Motion that its own interpretation of Swiss law should control over that of the Presiding Officer and the Swiss Court. Incredibly, Respondent contends that the Swiss Court is so wrong about Swiss law that Respondent fears criminal penalties if it follows the Swiss Court's order. (Motion at 1.) Respondent's only support for this radical conclusion is "its [own] conviction and that of its counsel that the July ruling of the [Swiss Court] is in error." (*Id.*)

II. Respondent's Motion Should Be Denied as Both Substantively Meritless and Procedurally Inappropriate.

Respondent chose to resist producing relevant documents and answering relevant interrogatories, forcing Complainant to file a motion to compel. Respondent lost. Respondent then delayed its compliance with the First Order Compelling Production by seeking to pursue a Hague Evidence Convention process. The Swiss Court rejected that process. Now, having lost at every stage, Respondent seeks *yet another delay* in complying with the discovery subject to the First Order Compelling Production and Letter of Request, instead trying to relitigate the same issues already rejected by the Presiding Officer and the Swiss Court. For both substantive and procedural reasons, the Presiding Officer should deny the requested extension.

A. Respondent's Motion Lacks Substantive Merit.

Respondent's Motion is meritless, contradicting the relevant precedent discussed in the Second Order Compelling Production. There, the Presiding Officer noted that a "district court recently declined to pursue discovery under the Hague Convention or to issue a letter of request" because Article 271 of the Swiss Criminal Code ("Article 271") "does not preclude voluntary disclosure in compliance with a civil discovery order if the consequence for noncompliance is

procedural only.” (Second Order Compelling Production at 2 (quoting *Belparts Grp., N.V. v. Belimo Automation AG*, 2022 U.S. Dist. LEXIS 75450, at *15 (D. Ct. 2022)).) The Presiding Officer also correctly observed that the example Respondent cites concerning a “criminal prosecution of a Swiss asset manager for providing data to American prosecutors on American clients of the asset manager” was inapposite because “[t]his proceeding is not a criminal prosecution and the Commission cannot impose criminal penalties.” (Second Order Compelling Production at 3.) The Second Order Compelling Production instead followed the precedents set forth in the *EFG Bank* and *Belparts Group* decisions in concluding that no “additional actions need to be taken under the Hague convention.” (*Id.* at 2–3 (discussing *EFG Bank AG v. AXA Equitable Life Ins. Co.*, 2018 U.S. Dist. LEXIS 67521 (S.D.N.Y. 2018) & *Belparts Grp.*, U.S. Dist. LEXIS 75450).) Respondent provides no basis for the Presiding Officer to reject those precedents.

B. Respondent’s Motion Is Procedurally Inappropriate.

In essence, Respondent’s Motion seeks reconsideration of the Second Order Compelling Production without following the procedures set forth in the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (the “Rules”). In addition to failing to meet and confer with Complainant about the Motion, as required by Rule 71(a), 46 C.F.R. § 502.71(a) (and arguably 46 C.F.R. § 502.141(j)(1), as well), Respondent failed to appeal the Second Order Compelling Production (and, for that matter, the First Order Compelling Production) to the Commission. The Rule governing motions to compel and related orders provides in relevant part that “[o]rders of the presiding officer directed to persons or documents located in a foreign country ***must become final orders of the Commission unless an appeal to the Commission is filed within 10 days after date of issuance*** of such orders or unless the Commission on its own motion reverses, modifies, or stays such rulings within 20 days of their issuance.” (46 C.F.R. § 502.150(d))

(emphasis added).) Rule 221, which more broadly governs motions for leave to appeal rulings of the Presiding Officer during the course of a proceeding, provides that “[a]ny party seeking to appeal must file a motion for leave to appeal no later than fifteen (15) days after written service or oral notice of the ruling in question” (46 C.F.R. § 502.221(b).) Under either provision of the Rules, Respondent’s time to appeal the Second Order Compelling Production, which was issued on July 29, 2022, had already elapsed before the Motion was filed on August 26, 2022.¹ Respondent should not be permitted to sidestep the processes contemplated by the Rules with a procedurally inappropriate Motion.

Nor should Respondent’s belated and repeated invocations of Swiss law be permitted to further delay this proceeding and prejudice Complainant. The Presiding Officer has concluded—in agreement with precedents from multiple federal courts—that in the context of this proceeding Swiss law does not create the “criminal exposure” that Respondent repeatedly cites as the only reason it will not comply with its obligations. (Motion at 2.) Respectfully, whether “MSC’s Swiss counsel continue to believe” that they are correct in their interpretation of Swiss law or the applicability of the Hague Evidence Convention (Motion at 4) is no longer relevant, and Respondent should not be permitted to request, once again, that the Presiding Officer enforce that interpretation in contravention of other authorities to the contrary.

III. Procedural Sanctions Are an Appropriate Remedy for Respondent’s Noncompliance.

In exchange for the privilege of “conduct[ing] business in United States ports”, Respondent has agreed to follow the laws and regulations administered by the Commission, including the Shipping Act and the Rules, and to submit to the jurisdiction and authority of the Commission and

¹ Although the Motion and its certificate of service were both dated August 25, 2022, they were not submitted to the Secretary of the Commission for filing until August 26, 2022.

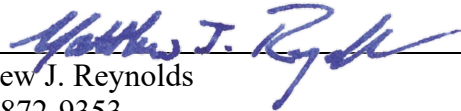
the Presiding Officer. (Second Order Compelling Production at 3.) Respondent cannot accept the benefits of shipping cargo to and from U.S. ports while shirking its legal and regulatory obligations before the Commission. “[P]arties appearing before the Commission are entitled to relevant evidence needed to adjudicate the proceeding. Failure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent’s interests to a decision on default.” (Second Order Compelling Production at 4.) Consistent with the last Joint Status Report, in light of Respondent’s failure to comply with the Second Order Compelling Production and its disclosure obligations under the Rules, Complainant intends to move for a decision on default and/or other procedural sanctions against Respondent.

IV. Conclusion

For the reasons stated above, Complainant respectfully requests that the Presiding Officer deny Respondent’s Motion.

Dated: September 2, 2022

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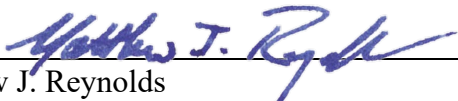
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

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